

The 9 Execution Risks That Killed NC Investor Deals in 2025

And how to spot each one in 5 seconds

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Why this exists

Most NC investor deals don't fail at acquisition. They fail at execution.

You ran the numbers. The deal works on paper. ARV, rehab budget, holding cost, exit strategy — all in your spreadsheet. You bought it. Then 8 weeks in, you discover the supply lines are polybutylene and the buyer's lender flags the property at appraisal. You're suddenly \$14K over budget and 6 weeks behind.

This pattern is so consistent that it's the entire reason **Southern Cities Construction (SCC)** built the Investor Execution Platform. We're a licensed NC GC who reviews investor deals for execution risk **before** earnest money goes hard.

This PDF documents the 9 risks we've seen kill more NC investor deals in 2025 than any other category. For each one:

- **What it is** — the construction reality
- **How to spot it in 5 seconds** — visual or contextual tells from the listing photos / drive-by / inspection
- **What it costs** — dollar range based on actual Charlotte / Triangle / Wilmington jobs in 2025
- **Why your buyer's lender cares** — for the BRRRR or flip-to-FHA folks

Your next deal probably has 2 or 3 of these. The question is which.

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Risk 1 — Labor Market Spike Outpaced Your Per-Sqft Math

What it is. Labor costs in North Carolina's metro submarkets have surged faster than national averages. Charlotte rough trade rates jumped roughly 28% from early 2024 to early 2026. Raleigh-Durham about 22%. Wilmington 18%. Most investors use a "per-sqft rehab" multiplier they wrote down on their last deal or learned from a national real estate podcast. That number is now stale by tens of thousands of dollars on a typical rehab.

How to spot it in 5 seconds. Look at your most recent rehab budget. Was it built using a per-sqft number from a deal you did in 2023 or 2024? Or from a national source? If yes, it's stale.

What it costs. A 1,400 sqft cosmetic rehab that priced at \$42K in 2024 is closer to \$54K-\$58K in early 2026. Same scope, same submarket. The investor who didn't update the multiplier is now \$12K-\$16K over budget before the first sub touches the property.

Why your buyer's lender cares. They don't, directly. But your appraisal will. If you under-budgeted the rehab and the ARV doesn't actually materialize because you cut corners, the refi falls apart.

Risk 2 — Permit Path Is Longer Than You Think

What it is. The classification of your rehab assumes a “normal” permit cycle. NC jurisdictions vary wildly — and the differences can blow your timeline by 6 to 12 weeks of additional holding cost.

Jurisdiction	Typical permit review time
Mecklenburg County (Charlotte)	8-11 weeks for residential alteration
Wake County (Raleigh)	6-9 weeks
Durham County	5-8 weeks
New Hanover (Wilmington)	7-10 weeks
Cumberland (Fayetteville)	4-7 weeks

If the work touches the structural envelope, has prior unpermitted work, or is in a backlogged jurisdiction, add 3-6 weeks.

How to spot it in 5 seconds. Pull the property’s permit history. If there’s any structural work, addition, or square footage change in the last 30 years that doesn’t have a permit — your “moderate rehab” classification was wrong from the start.

What it costs. 6 weeks of additional holding cost on a \$200K loan at 11% hard money interest = roughly \$2,500. That’s just the carrying cost. Add lost weekly rent income for a BRRRR (\$6,000+) and the impact on flip timeline (delayed sale = price reduction risk).

Why your buyer’s lender cares. Lenders won’t extend draw deadlines indefinitely. Permit delays can force re-underwriting or higher carrying costs.

Risk 3 — Galvanized Plumbing Throughout

What it is. Older NC properties (built before roughly 1965) often have galvanized steel supply lines. They look intact from the outside but corrode internally. Water flow drops, leaks emerge, and any home inspector will flag them.

How to spot it in 5 seconds. Check under the kitchen sink or in the basement / crawl space. If the supply lines are dull, grayish-silver, threaded steel pipes (not shiny copper, not PEX, not white PVC) — it's galvanized. Visible rust at the joints is the smoking gun. In listing photos, look at the basement / crawl space photos for any visible pipework.

What it costs. Full repipe of a 1,400-sqft single-family in Charlotte: **\$8,000 - \$15,000**. This includes labor, materials, drywall patch and paint where access was cut, and basic fixture reconnection.

Why your buyer's lender cares. FHA and VA loans flag galvanized plumbing as a "material defect." Most conventional lenders will require resolution before close. If your buyer is using FHA / VA financing, this single issue can kill your sale unless you repipe.

Risk 4 — Federal Pacific Stab-Lok or Zinsco Electrical Panel

What it is. Two specific electrical panel brands are well-known to be fire hazards. **Federal Pacific Electric (FPE) Stab-Lok** panels have a documented history of breakers failing to trip under overload. **Zinsco** panels suffer from corrosion at the bus bar. Both are commonly found in NC homes built between roughly 1955 and 1985.

How to spot it in 5 seconds. Look at the listing photos for any image of the electrical panel. Federal Pacific panels say “**Federal Pacific Electric**” or “**FPE**” on the cover, often with red “Stab-Lok” branding inside. Zinsco panels say “**Zinsco**” or “Sylvania” (after the acquisition). The breakers in Zinsco panels are often distinctive multi-color (red, blue, green handles).

What it costs. Panel replacement in Charlotte: **\$4,000 - \$7,000** including service upgrade if needed (most older panels are 100-amp; modern 200-amp service is the standard target).

Why your buyer’s lender cares. Insurance companies refuse to underwrite homes with these panels. No insurance = no mortgage. FHA / VA / conventional all require resolution before close.

Risk 5 — Aluminum Branch-Circuit Wiring

What it is. Homes built roughly 1965-1975 in NC sometimes used aluminum wire for branch circuits instead of copper. Aluminum expands and contracts with temperature, loosening connections at outlets and switches. This causes overheating and is a documented fire hazard.

How to spot it in 5 seconds. Pull off any outlet cover plate. If the wires entering the outlet are dull silver-gray (instead of copper / orange-brown), it's aluminum branch-circuit wiring. In listing photos, look for the panel — if it's an older (1965-1975) panel, assume aluminum branch wiring is likely until verified.

What it costs. Two options: - **Pigtailing** (copper-aluminum approved connectors at every outlet / switch): **\$2,500 - \$4,500** for a typical 3-bedroom home. - **Full rewire** (replacing all branch circuits with copper): **\$8,000 - \$15,000**.

Most buyers' lenders require at minimum pigtail.

Why your buyer's lender cares. Same as Risk 4 — insurance refuses to underwrite. Plus the FHA flagging. The pigtail solution often satisfies lender requirements; full rewire is sometimes overkill but always safe.

Risk 6 — Polybutylene Supply Lines

What it is. Polybutylene pipe was widely used for residential water supply in the US from roughly 1978 to 1995, including thousands of NC homes. It degrades from contact with chlorinated water. Failure is sudden — pipes burst with no warning. Class-action settlements ended decades ago, so the cost is fully on the owner.

How to spot it in 5 seconds. Polybutylene supply lines are **gray plastic** (sometimes blue or black). Look at the connections to the water heater, exposed pipes in the basement / crawl space, and connections under sinks. They look like gray plastic tubing with metal crimp rings. If you see this, it's polybutylene.

What it costs. Full repipe of a 1,400-sqft single-family in Charlotte: **\$10,000 - \$14,000**. Cost varies based on whether the existing PB is in walls (requiring drywall patch) or in accessible crawl space (cheaper).

Why your buyer's lender cares. Polybutylene is flagged by most lenders and insurance companies. Often shows up on inspection reports as a material defect requiring resolution. A BRRRR refi where the appraiser sees PB and notes it on the report can force you to repipe before the refi clears.

Risk 7 — Roof Past Useful Life When You Budgeted Partial Repair

What it is. You walked the property and the roof looks “OK.” You budgeted \$3K-\$5K for partial repair or patch. The inspection comes back saying the roof has 2 years of remaining life and the buyer’s lender requires full replacement before close.

How to spot it in 5 seconds. Find the listing date the home was built. Asphalt shingle roofs typically last 20-25 years in NC’s climate. If the home was built in 2000 and the current roof is original, it needs replacement. Look at the listing photos for an aerial / drone shot — granular loss, missing shingles, sagging ridges, and dark streaks (algae) all indicate end-of-life.

What it costs. Full roof replacement, 1,400-sqft single-family in Charlotte: **\$12,000 - \$18,000**. Varies based on roof complexity, decking condition, and material grade.

Why your buyer’s lender cares. Conventional lenders typically require a roof with at least 3-5 years of remaining life. FHA / VA require 2+ years. If the inspector calls it under, repairs or full replacement is required before close. You cannot close around it.

Risk 8 — Clay Sewer Line With Root Intrusion or Collapse

What it is. NC homes built before roughly 1980 often have **clay or “Orangeburg” (compressed tar paper)** sewer lines from house to street. Tree roots invade through joints. Sections collapse. You don’t know it’s an issue until a camera scope or until the line backs up. Often missed on standard home inspection because it requires specialty scope equipment.

How to spot it in 5 seconds. Look at the property’s mature tree placement. If there are 20+ year-old trees within 30 feet of the sewer line (which typically runs from the house to the street at the front), assume there’s potential. Ask the listing agent if a sewer scope was done. Listing photos rarely show this risk.

What it costs. Trenchless sewer line replacement (best case): **\$6,000 - \$9,000**. Full excavation replacement (worse case): **\$10,000 - \$18,000**. If the line runs under a driveway or hardscape that needs to be cut and replaced, add \$3K-\$8K.

Why your buyer’s lender cares. Sewer line issues that surface during the inspection period kill deals. Buyers can use this as a price-reduction lever or a walk-away trigger. If you discover it during your rehab, you eat it.

Risk 9 — HVAC Sequencing Trap

What it is. The classification of your rehab assumes a normal trade sequence. HVAC is supposed to be roughed-in **before** drywall goes up. If you sequenced wrong — drywall first, then realized the HVAC needs additional ductwork — you're paying to cut, drop, and patch drywall, AND paying the HVAC crew a second mobilization fee.

This is the most common sequencing error I see on investor rehabs in 2025.

How to spot it in 5 seconds. Look at your project schedule. If HVAC is scheduled AFTER drywall, it's wrong. If you're doing a kitchen relocation, basement build-out, or addition — any of these may require running new ductwork through existing wall cavities. That work has to happen BEFORE drywall is closed up.

What it costs. Rework: **\$3,000 - \$8,000** in patched drywall, repainting, and HVAC re-mobilization. Plus 1-2 weeks of additional schedule and the cascade impact on every downstream trade.

Why your buyer's lender cares. They don't see the rework directly. But the schedule slip cascades into your draw schedule, holding costs, and potentially appraisal timing for BRRRR refi.

Cost summary — what each risk costs to discover late

#	Risk	Typical cost if unaddressed at acquisition
1	Stale labor multiplier	\$12K - \$16K (depending on scope size)
2	Permit timeline drift	\$2.5K - \$8.5K in holding cost + lost income
3	Galvanized plumbing	\$8K - \$15K
4	Federal Pacific / Zinsco panel	\$4K - \$7K
5	Aluminum wiring	\$2.5K - \$15K
6	Polybutylene supply lines	\$10K - \$14K
7	Roof past useful life	\$12K - \$18K
8	Clay / Orangeburg sewer line	\$6K - \$18K
9	HVAC sequencing trap	\$3K - \$8K + schedule cascade

Most investor deals have 2 or 3 of these.

If you're underwriting a deal in NC right now and you didn't check for all 9, your real rehab budget is probably \$20,000 - \$50,000 higher than what's in your spreadsheet.

How to know if your next deal is exposed

There are two paths:

Path 1 — Run it yourself. Use this PDF as a checklist. Walk every property you're underwriting and physically check for each of the 9 risks. This works if you have the construction background to spot them and the time to be thorough.

Path 2 — Have a licensed NC GC do it for you.

The **Investor Execution Review (CO1)** is what Southern Cities Construction does to check every single one of these on your specific deal — plus market-current labor pricing, permit-jurisdiction reality, and a structured risk score you can use to underwrite.

- **\$499 flat fee.** Refundable as credit against any deeper engagement (Project Setup, Active Oversight, GC-Supported Build, or Full-Service GC).
- **48-hour turnaround.** Submit Friday morning, get the report by Tuesday.
- **Performance guarantee.** If after our 24-hour intake we determine we cannot perform the standard review on your deal, full refund — no questions. Once we accept, we deliver.
- **NC GC License #107724.** Real contractor, real liability.

The only investors who pay \$499 net are the ones who run the review **and** walk away from the deal — because the review found a \$20K+ problem they didn't see, and the math no longer worked. In which case the \$499 just saved them \$5K-\$50K.

If you want to get the Execution Review on your next deal:

southerncitiesconstruction.com/platform/co1

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